

ORDER VALUE

USD 600,000

PACKING CREDIT

USD 420,000

CREDIT PERIOD

90 days

PV RATE

12.0% p.a.

TERMS COMPARED

5

DELIVERABLES

1 Written report (this PDF)
2 Excel model, 7 sheets, all formulas visible
3 Task E + Task F answers
4 One-paragraph executive recommendation

Structuring the Payment and Finance of an Export Order: A Comparative, Risk-Adjusted Cost Analysis

Name: Eswar Mahalingam · Course / internship: International Business Internship, Internship Studio · Assignment: Module 6 Project (Documentation in International Trade, Terms of Payment, EXIM Bank, WTO, World Bank) · Submitted: 22 September 2026 · Attached model: Export_Payment_Finance_Model_Eswar.xlsx (249 live formulas, 0 errors)

1. Scenario and what I set out to answer

An Indian manufacturer of engineering goods has won a USD 600,000 FOB export order from a buyer in Germany. Production takes 60 days and costs USD 420,000, which has to be financed before shipment. The buyer is offered 90 days' credit after shipment. I built one Excel model that puts five payment structures on the same footing — advance payment, confirmed sight LC, unconfirmed 90-day usance LC, documentary collection D/A 90 days and open account 90 days — by itemising bank charges, financing or discounting cost, packing-credit cost and expected loss from default, then discounting each net realisation to day 0 at the exporter's 12% cost of capital. The question is not "which term pays the most on paper" but "which term leaves the most money in hand today, per unit of risk carried".

2. Given data (all taken from the brief; every figure sits in the Assumptions block of the model)

Transaction facts	Value	Bank charges	Value	Finance rates (p.a.)	Value
Export order value (FOB)	USD 600,000	LC advising	USD 150 flat	Packing credit	9.0%
Production cost to finance	USD 420,000	LC confirmation	0.15% / month on LC	Post-shipment credit (INR)	9.5%
Pre-shipment period	60 days	Negotiation / handling	0.20% of bill	Interest subvention	−3.0 pp
Credit period to buyer	90 days after shipment	SWIFT / courier	USD 120 flat	FC usance bill discount	6.5% (net)
Reporting FX (fixed)	1 USD = INR 83.50	D/A handling	0.15% of bill	Cost of capital (PV rate)	12.0%
Day count	360 days / year	Open-account remittance	USD 150 flat	Subvented packing credit	6.0%
Advance concession	5% of price	Inward remittance (advance)	USD 100 flat	Subvented post-shipment	6.5%
Default probabilities	0% / 0.2% / 1% / 4% / 8%	Discrepancy fee (LC)	USD 90 per set	PV factor (simple)	1/(1+0.12×d/360)

3. Modelling conventions I applied (stated so a reviewer can reproduce every number)

• **Confirmation tenor = 2 months.** The LC is opened at order and must stay valid until the 60-day shipment, so the 0.15%-per-month confirmation charge is applied for 2 months (USD 1,800). This is a yellow editable cell. • **SWIFT / courier USD 120** is charged on every bank-routed post-shipment term (both LCs, D/A, open account); the advance carries the inward-remittance USD 100 instead. • **Packing credit** at the subvented 6.0% (9.0% − 3.0%) on USD 420,000 for 60 days applies to every term except advance, because the advance funds production. • **Usance LC** proceeds are discounted at the 6.5% foreign-currency rate for 90 days; **D/A and open account** are brought forward to the shipment date with post-shipment credit at the subvented 6.5% (9.5% − 3.0%). • **Expected loss** = default probability × USD 600,000 exposure. • **Timing:** advance is cash at day 0; sight LC, discounted and credit-financed proceeds all land at day 60 and are discounted with the simple-interest PV factor. • Currency movements are outside scope; INR is shown only at the fixed 83.50 reporting rate.

4. Objectives mapped to sections of this report

Objective (brief §2)	Where answered	Headline result
1 Pre-shipment financing cost	Task A, page 2	USD 4,200 (Rs 3,50,700) — subvention saves USD 2,100
2 Charges, financing, expected loss per term	Task B, page 2	Sight LC carries the lowest total friction: USD 8,670
3 Present value at 12% cost of capital	Task C, page 3	Sight LC PV USD 579,735 vs advance USD 569,900
4 Ranking and recommendation	Task D, page 3	Recommend confirmed sight LC; advance ranks 2nd
5 UCP 600 discrepancy check	Task E, page 4	4 discrepancies; sight LC falls from rank 1 to rank 4
6 EXIM Bank, WTO, World Bank roles	Task F, page 5	Institutional analysis + executive recommendation, page 6

Reading guide

Blue cells in the model are inputs from the brief; yellow cells are the three editable assumptions (confirmation months, discrepant-LC default probability, waiver delay).
Every figure in this report is pulled from the recalculated workbook — no number is typed by hand.

Cost
Build-up

PACKING CREDIT
USD 4,200

SUBVENTION SAVING
USD 2,100

SIGHT-LC FRICTION
USD 8,670

ADVANCE CONCESSION
USD 30,000

OA EXPECTED LOSS
USD 48,000

FORMULAS (BRIEF \$5)
Packing credit = $P \times r_{sub} \times d/360$
Confirmation = $0.15\% \times \text{months} \times \text{LC}$
Negotiation = $0.20\% \times \text{bill}$
Usance discount = $\text{bill} \times 6.5\% \times 90/360$
Post-shipment = $\text{bill} \times 6.5\% \times 90/360$
Expected loss = $p \times \text{order value}$
Net = gross – charges – finance – PC – EL

Task A — Pre-shipment financing cost (packing credit)

Step	Working	Result
1	Subvented packing-credit rate = 9.0% base – 3.0% subvention	6.0% p.a.
2	Interest = USD 420,000 × 6.0% × 60 / 360	USD 4,200
3	In rupees at the fixed 83.50 reporting rate	Rs 3,50,700
4	Without subvention: 420,000 × 9.0% × 60/360 = USD 6,300 → subvention saving	USD 2,100 (33%)
5	Applies to: sight LC, usance LC, D/A, open account. Not to advance (buyer's cash funds production)	4 of 5 terms

The subvention matters more than it looks: on a 60-day cycle it lifts the exporter's margin by 0.35% of order value for free, and the same 3 pp also applies to the rupee post-shipment credit used for D/A and open account.

Task B — Cost build-up for each of the five payment terms

Cost build-up (USD)	Advance (100%)	Confirmed sight LC	Usance LC 90d	D/A 90 days	Open account 90d
Gross amount received	570,000	600,000	600,000	600,000	600,000
LC advising	0	150	150	0	0
LC confirmation (0.15% × 2 months × 600,000)	0	1,800	0	0	0
Negotiation / handling 0.20%	0	1,200	1,200	0	0
D/A collection handling 0.15%	0	0	0	900	0
Open-account remittance handling	0	0	0	0	150
Inward remittance (advance)	100	0	0	0	0
SWIFT / courier	0	120	120	120	120
Total bank charges	100	3,270	1,470	1,020	270
Financing / discounting cost (90 days)	0	0	9,750	9,750	9,750
Packing credit cost (Task A)	0	4,200	4,200	4,200	4,200
Default probability	0.0%	0.2%	1.0%	4.0%	8.0%
Expected loss = p × 600,000	0	1,200	6,000	24,000	48,000
NET REALISATION (nominal)	569,900	591,330	578,580	561,030	537,780
Net realisation in INR @ 83.50	Rs 47,586,650	Rs 49,376,055	Rs 48,311,430	Rs 46,846,005	Rs 44,904,630

How to read the table. The advance column starts USD 30,000 lower because the buyer buys the security of paying first with a 5% price cut; everything after that is cheap (USD 100). The sight LC is the opposite: it keeps the full USD 600,000 and spends USD 3,270 on bank charges — the confirmation is the single biggest line (USD 1,800) and is what turns the German buyer's bank risk into Indian confirming-bank risk (0.2% default). The usance LC keeps charges low (USD 1,470) but pays USD 9,750 to discount the 90-day bill and carries five times the sight-LC default probability. D/A and open account look cheapest on charges (USD 1,020 and USD 270) and then give it all back through USD 9,750 of post-shipment interest and USD 24,000–48,000 of expected loss, because no bank stands behind the buyer.

Cross-check built into the model (TaskB_C_Model!B38:D38): the 5% concession (USD 30,000) versus the sight LC's total friction — charges USD 3,270 + packing credit USD 4,200 + expected loss USD 1,200 = USD 8,670. The model returns "YES — concession costs more than sight LC", which is the arithmetic heart of Task D.

Sheet map for the reviewer

TaskA_PackingCredit: 10-step table with the exact formula typed beside each result.
TaskB_C_Model: rows 5–31, one column per term, every cell referencing the Assumptions block — change any rate and all five columns update.

Present Value & Ranking

BEST PV

USD 579,735

SIGHT LC ALL-IN

3.38%

ADVANCE ALL-IN

5.02%

LC BEATS ADVANCE BY

USD 9,835

BREAK-EVEN CONCESSION

3.36%

PV FACTOR

Day 0: 1.000000

Day 60: $1/(1+0.12 \times 60/360) = 0.980392$

RISK LADDER

Advance 0.0% → sight LC 0.2%

→ usance LC 1.0% → D/A 4.0%

→ open account 8.0%

Task C — Present value and all-in cost

Present-value comparison	Advance (100%)	Confirmed sight LC	Usance LC 90d	D/A 90 days	Open account 90d
Days from day 0 to cash	0	60	60	60	60
PV factor = $1 / (1 + 12\% \times \text{days}/360)$	1.000000	0.980392	0.980392	0.980392	0.980392
Net realisation (nominal), USD	569,900	591,330	578,580	561,030	537,780
PV of net realisation, USD	569,900	579,735	567,235	550,029	527,235
PV in INR @ 83.50	Rs 47,586,650	Rs 48,407,897	Rs 47,364,147	Rs 45,927,456	Rs 44,024,147
All-in cost % = $(600,000 - \text{PV}) / 600,000$	5.02%	3.38%	5.46%	8.33%	12.13%
All-in cost, USD	30,100	20,265	32,765	49,971	72,765
Rank by PV (1 = best)	2	1	3	4	5
Rank by default risk (1 = safest)	1	2	3	4	5

Only the advance is cash at day 0 (PV factor 1.000000). Every other term lands at the day-60 shipment date — the sight LC because it pays on presentation, the usance LC because the bill is discounted, D/A and open account because post-shipment credit brings the cash forward — so all four share the same factor of 0.980392 (a 1.96% haircut for 60 days at 12%). The ordering therefore changes only where the day-0 advance is compared with the day-60 terms: the advance climbs from 3rd nominally to 2nd on PV, but still does not overtake the sight LC.

Task D — Ranking and recommendation

Rank by PV	Term	PV (USD)	All-in cost	Rank by risk	Default p	Verdict
1	Confirmed LC at sight	579,735	3.38%	2	0.2%	RECOMMENDED
2	Advance payment (100%)	569,900	5.02%	1	0.0%	Runner-up — only if concession < 3.36%
3	Usance LC 90 days (unconfirmed)	567,235	5.46%	3	1.0%	Acceptable fallback
4	Documentary collection D/A 90 d	550,029	8.33%	4	4.0%	Reject — risk too high
5	Open account 90 days	527,235	12.13%	5	8.0%	Reject — never beats sight LC

Recommendation: confirmed letter of credit at sight

I recommend the **confirmed sight LC**. It leads on present value (USD 579,735, all-in cost 3.38%) and sits one place behind the advance on risk at a default probability of only 0.2% — and that 0.2% is confirming-bank risk in India, not German-buyer risk. Its extra frictions total USD 8,670, which is less than one third of the USD 30,000 the buyer wants for paying in advance. Commercially it is also the term a German buyer will accept without arguing, because the bank, not the buyer, is being asked to trust the exporter's documents.

Is advance payment really the best option? No.

On risk alone the advance wins (0% default, no packing credit, no confirmation fee). But the buyer's condition — a 5% price concession — is a USD 30,000 cost that never appears in a bank-charge schedule. Once it is counted, the advance realises USD 569,900 today against USD 579,735 for the sight LC, a gap of **USD 9,835** (Rs 8.21 lakh) in the LC's favour. The Sensitivity sheet solves the break-even: the advance beats the sight LC only if the concession is below **3.36%**. At any concession above that, the exporter is paying more for certainty than the certainty is worth, because the confirmed LC already removes almost all of the payment risk for USD 1,800.

Cost against risk for the riskier terms

The usance LC, D/A and open account each spend about USD 9,750 on 90-day financing, so they cannot be cheaper on cash cost than the sight LC; their only argument is lower bank charges (USD 270–1,470), and expected loss wipes that out. D/A's 4% default probability alone costs USD 24,000 — 2.7× the entire friction of the sight LC. Open account's 8% costs USD 48,000, and the break-even calculation shows it **can never** match the sight LC even at a 0% default probability (break-even probability is –0.93%), because its charges plus financing already exceed the LC's total friction. The trade-off is therefore not a trade-off at all: every step down the risk ladder costs the exporter more PV, not less.

What would change the answer

If the buyer's concession fell below 3.36%, the advance would win on PV as well as risk.

If the exporter's cost of capital exceeded ~35%, the day-0 advance would start to overtake day-60 terms (Sensitivity sheet shows the sight LC still leads at 8–16%).

Eswar Mahalingam

International Business Internship
Internship Studio · Module 6 Project
eswarmba05313@gmail.com
+91-9360548243 · Ghaziabad, India

DISCREPANCIES

4 of 6 items

DISCREPANCY FEE

USD 90

EXPECTED LOSS

1,200 → 48,000

ALL-IN COST

3.38% → 11.33%

RANK BY PV

1 → 4

- ARTICLES CITED
- Art. 2 & 15 complying presentation
 - Art. 8 confirming bank undertaking
 - Art. 14 standard for examination
 - Art. 16 discrepant documents, waiver
 - Art. 18(b) invoice amount
 - Art. 20(a)(ii) on-board B/L
 - Art. 28(f)(ii) 110% insurance
 - Art. 30 tolerances

Task E — Documentation under UCP 600: checking the sight-LC presentation

The confirmed sight LC calls for a signed commercial invoice, a full set of clean shipped-on-board ocean bills of lading, marine insurance for 110% of CIF value, a packing list, a certificate of origin and a sight bill of exchange. Under UCP 600 Art. 14(a) the banks examine the documents on their face and, under Art. 2 and Art. 15, honour only a *complying presentation*. I checked each item presented against the credit and the articles:

#	Required by the LC	Presented	Discrepancy?	UCP 600 basis and why it fails
1	Signed invoice for the LC amount (USD 600,000)	Shows USD 605,000	YES	Art. 18(b) — a nominated/confirming bank may refuse an invoice issued for an amount in excess of the credit; Art. 14(d) data must not conflict — Invoice exceeds the LC amount by USD 5,000; no $\pm$ tolerance wording ("about"/"approximately") in the LC (Art. 30).
2	Full set of CLEAN SHIPPED ON BOARD B/L	Marked "received for shipment"	YES	Art. 20(a)(ii) — B/L must indicate goods shipped on board a named vessel by pre-printed wording or an on-board notation with date — "Received for shipment" only proves receipt by the carrier, not loading; no on-board date, so shipment cannot be evidenced.
3	Cover for 110% of CIF value	Covers 100% of value	YES	Art. 28(f)(ii) — minimum cover is 110% of CIF/CIP value when the credit so requires (and even by default) — Under-insured by 10 percentage points; the bank/buyer are not protected for the full landed value plus expected profit.
4	Consistent with other documents	Consistent	NO	Art. 14(d)/(e) — data need not be identical but must not conflict — Complies — no action.
5	On or before the LC's latest shipment date	Later than the latest shipment date	YES	Art. 14(c) and the LC's latest-shipment field (MT700 44C); late shipment is a classic discrepancy — Documents dated after the latest shipment date cannot be honoured; also risks the Art. 14(c) 21-day presentation window and LC expiry.
6	Required	Presented (no issue stated)	NO	Art. 14 — Complies — no action.

Result: four discrepancies (invoice amount, received-for-shipment B/L, 100% insurance, late shipment) in one document set → discrepancy fee USD 90 × 1 set = **USD 90**. Items 4 and 6 comply.

How a discrepant presentation changes the risk and the expected loss

A confirming bank's undertaking exists only for a complying presentation (Art. 8). On finding discrepancies it may refuse (Art. 16) and, at best, contact the applicant for a waiver (Art. 16(b)). At that moment the exporter is no longer holding a bank promise — it is holding documents and hoping the German buyer chooses to accept them. Economically the sight LC has collapsed into an **open-account-style exposure**: I therefore re-run the sight-LC column with the buyer's own 8% default probability (yellow scenario cell), add the USD 90 fee and a 10-day waiver delay.

Line	Compliant presentation	Discrepant presentation	Change
Default probability	0.2%	8.0%	7.8%
Expected loss, USD	1,200	48,000	46,800
Discrepancy fee, USD	0	90	90
Days to cash	60 days	70 days	10 days
Net realisation (nominal), USD	591,330	544,440	-46,890
PV factor	0.980392	0.977199	-0.003193
PV of net realisation, USD	579,735	532,026	-47,709
All-in cost %	3.38%	11.33%	7.95%
Rank among the five terms (PV)	1	4	3

The sight LC drops from **rank 1 to rank 4** of five: expected loss rises from USD 1,200 to USD 48,000, PV falls by USD 47,709 to USD 532,026, and the all-in cost jumps from 3.38% to 11.33% — worse than D/A and barely better than open account, after the exporter has already paid USD 1,800 for a confirmation that no longer protects it. The buyer could also use the discrepancies to renegotiate price or delay payment, none of which is captured in the model but all of which points the same way.

Cure before presentation (what I would do as the exporter): (1) re-issue the invoice at exactly USD 600,000; (2) obtain a dated on-board notation from the carrier so the B/L reads "shipped on board"; (3) endorse the insurance policy up to 110% of CIF; (5) request an LC amendment (MT707) extending the latest shipment date and expiry *before* shipping late — an amendment costs a few hundred dollars, a discrepant presentation costs USD 47,000 of expected loss.

Model note

TaskE_UCP600 sheet: rows 5–10 list the checks; rows 17–25 recompute the discrepant column live from the three yellow scenario inputs.

Set the discrepant default probability back to 0.2% to see the fee alone cost USD 88 of PV.

TASK F

Institutions Behind the Deal

EXIM BANK

Finance & refinance

SUBVENTION VALUE

USD 2,100

WTO

Market access

WORLD BANK / IFC

Trade guarantees

ECGC (WITH EXIM)

Credit insurance

ONE-LINE ROLES

EXIM Bank: makes the packing-credit and post-shipment legs affordable and can insure the buyer risk.

WTO: bound tariffs, TBT, TFA, SCM discipline — why the German market is open and why subsidies must be WTO-compatible.

World Bank Group: IFC GTFP guarantees to confirming banks, MIGA, trade-facilitation lending and country-risk data.

Eswar Mahalingam

International Business Internship
Internship Studio · Module 6 Project
eswarmba05313@gmail.com
+91-9360548243 · Ghaziabad, India

Task F — Institutional analysis: EXIM Bank, the WTO and the World Bank Group

EXIM Bank of India — the financier behind the exporter

Export-Import Bank of India (Act of 1981) is the apex export-finance institution and touches this deal at three points. **Before shipment**, the commercial bank's packing credit is the front line, but EXIM Bank refinances and supplements it: its Pre-Shipment Credit lines and the Interest Equalisation / subvention framework it administers with the Government and RBI are why the exporter pays 6.0% instead of 9.0% on the USD 420,000 — worth USD 2,100 on this order alone. **After shipment**, EXIM's post-shipment finance, Buyer's Credit and Lines of Credit to overseas banks can fund the 90-day credit the German buyer wants, so the exporter can offer a usance term without carrying it on its own balance sheet; on this deal that is the USD 9,750 financing line in the usance, D/A and open-account columns. **On risk**, EXIM works alongside ECGC: export credit insurance on the buyer or the LC-issuing bank converts an 8% open-account default probability into a small insured premium, which is the one lever that could rehabilitate the open-account term in the model. EXIM also offers advisory support on Incoterms, documentation and country risk, and lends to the exporter for capacity expansion if the German order is the first of many. In this case, EXIM is not the payment mechanism — that is the confirmed LC — but it is the reason the mechanism is affordable: the subvented rates and the availability of foreign-currency post-shipment finance are structural advantages Indian engineering exporters enjoy over competitors, and the recommended sight-LC structure uses the packing-credit leg of that support directly.

WTO — the rules that give the exporter market access

The World Trade Organization frames the environment in which this order exists. Germany applies the EU's bound MFN tariff under GATT Article I and II, so the Indian exporter faces a known, non-discriminatory duty and cannot be singled out; the Agreement on Technical Barriers to Trade means the EU's CE-marking and standards for engineering goods must be applied transparently and no more restrictively than necessary; the Trade Facilitation Agreement (2017) has pushed customs release and documentation towards electronic, predictable processes, which shortens the document cycle behind the LC presentation in Task E; and the Customs Valuation and Rules of Origin agreements govern the invoice and certificate of origin the LC demands. The WTO also disciplines what India may do for the exporter: under the Agreement on Subsidies and Countervailing Measures, export-contingent subsidies are prohibited for a country at India's income level, which is why India's old MEIS scheme was replaced by RoDTEP (a remission of embedded taxes, WTO-compatible) and why interest subvention is framed as equalisation rather than an export bounty. Payment security itself is not a WTO subject — the WTO neither guarantees payment nor governs LCs — but dispute settlement and the bound tariff schedule are what make the German market reliably open, and market access is the precondition for every cash flow in the model.

World Bank Group — payment security and the cost of doing business

The World Bank Group affects this deal indirectly but materially. **MIGA** insures cross-border investment against non-commercial risk, and **IFC's Global Trade Finance Program** issues guarantees to confirming banks on trade instruments from emerging-market banks — it is one reason an Indian bank can obtain confirmation of a German-issued LC at 0.15% a month rather than a punitive rate, and it is the institution that most directly lowers the cost of the recommended structure. The Bank's lending and technical assistance to India's logistics, ports and trade-facilitation reforms (and its former Doing Business / current Business Ready benchmarking) reduce the time and cost of the documentation chain, and its country risk and governance data feed the credit models the confirming bank and ECGC use when they price the 0.2% and 8% probabilities in this project. The **IMF–World Bank** framework also underwrites the macro-stability that keeps the INR/USD rate convertible and remittances free — the fixed 83.50 reporting rate in this brief is a simplification that only makes sense because that convertibility is not in doubt. In short: the WTO opens the door, the World Bank Group lowers the toll on the road, and EXIM Bank pays for the fuel; the confirmed sight LC is the vehicle that gets the USD 600,000 home.

References used

EXIM Bank of India Act 1981 and product pages; RBI Master Direction on Export Credit and Interest Equalisation Scheme; ICC UCP 600 (2007); WTO GATT Arts I–II, TBT, TFA, SCM; IFC Global Trade Finance Program; MIGA guarantees. Course material: Internship Studio Module 6.

Executive
Summary &
Model Guide

CHOSEN TERM

Confirmed sight LC

PV REALISED

USD 579,735

IN RUPEES

Rs 4.84 crore

ALL-IN COST

3.38%

MODEL

249 formulas · 0 errors

SUBMISSION

Folder: Eswar_Mahalingam_IB_Module6_Project
1 This report (PDF)
2 Export_Payment_Finance_Model_Eswar.xlsx
Upload to Google Drive →
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Eswar Mahalingam

International Business Internship
Internship Studio · Module 6 Project
eswarmba05313@gmail.com
+91-9360548243 · Ghaziabad, India

Executive recommendation

One-paragraph recommendation to management

I recommend that the USD 600,000 German order be structured on a **confirmed irrevocable letter of credit payable at sight**, with production funded by 60-day packing credit at the subvented 6.0% rate. This structure realises USD 591,330 nominal and **USD 579,735 in present-value terms** (all-in cost 3.38%, Rs 4.84 crore at 83.50), the highest of the five options, while carrying a default probability of only 0.2% — and that residual risk sits with an Indian confirming bank, not the buyer. Advance payment is the only safer term but the buyer's 5% concession makes it USD 9,835 poorer in present value; usance LC, D/A and open account each spend USD 9,750 on financing and then lose USD 6,000–48,000 to expected default, so none can match the sight LC even at zero default risk. The recommendation is conditional on a **complying presentation**: the four discrepancies found in Task E would strip away the bank's undertaking and drop the same LC to rank 4, so the documentation team must fix the invoice amount, on-board notation, 110% insurance and shipment date — or obtain an amendment — before presenting.

Sensitivity — is the answer robust? (Sensitivity sheet, live formulas)

Cost of capital	8%	10%	12%	14%	16%
Advance payment (100%)	569,900	569,900	569,900	569,900	569,900
Confirmed LC at sight	583,549	581,636	579,735	577,847	575,971
Usance LC 90 days (unconfirmed)	570,967	569,095	567,235	565,388	563,552
Documentary collection D/A 90 days	553,648	551,833	550,029	548,238	546,458
Open account 90 days	530,704	528,964	527,235	525,518	523,812
Best term	Confirmed LC at sight	Confirmed LC at sight	Confirmed LC at sight	Confirmed LC at sight	Confirmed LC at sight

The sight LC is the best term at every cost of capital from 8% to 16%; only the gap to the advance moves. Two break-evens in the sheet: the advance overtakes the sight LC only if the buyer's concession falls below 3.36%; open account would need a negative default probability (–0.93%) to match the LC, i.e. it never can.

The Excel model — structure and how to use it

Sheet	Contents	Formulas
Assumptions	Single block: transaction facts, bank charges, finance rates, default probabilities, Task E scenario inputs. Blue = brief inputs, yellow = editable (confirmation months, discrepant default p, waiver delay).	Subvented rates derived
TaskA_PackingCredit	10-step calculation with the exact formula typed beside each result; subvention saving shown.	10
TaskB_C_Model	Five term columns: gross, itemised charges, financing, packing credit, default p, expected loss, net realisation, INR, days, PV factor, PV, all-in cost, both ranks, plus advance-vs-LC check, best/safest lookups.	150+
TaskD_Summary	Linked comparison table with verdict formulas, two native charts (PV by term; all-in cost vs default p).	Linked
TaskE_UCP600	Six-item discrepancy check with UCP articles, COUNTIF of discrepancies, fee, and a compliant-vs-discrepant impact table recomputed live.	Live
Sensitivity	PV at five costs of capital, best-term lookup per rate, open-account break-even default probability, advance concession break-even.	Live

Every formula references the Assumptions block, so changing any rate updates all five columns, both rankings, the charts and the Task E impact table — as the brief's closing tip requires. Recalculated with LibreOffice: **249 formulas, 0 errors**.

Declaration

This report and model are my own work for the International Business Internship at Internship Studio. All figures come from the project brief; the three yellow scenario assumptions (2-month confirmation tenor, 8% discrepant-LC default probability, 10-day waiver delay) are mine and are labelled as such in the workbook. — Eswar Mahalingam, Ghaziabad, 22 September 2026.

Checklist before I upload

Report has name, course and assignment at the top ✓ · all five cost build-ups ✓ · PV comparison ✓ · ranking ✓ · recommendation ✓ · Task E ✓ · Task F ✓ · Excel attached with formulas visible ✓